

Green finance

- It is any financial activity that is created to ensure better environmental outcome
- Goals:
 - Manage environmental risk
 - Go for opportunities that provide environmental benefits
 - Generate a decent return for investors
- Includes investment in areas which deal with:
 - Waste recycling
 - Renewable energy
 - Energy efficiency
- Some types:
 - Green loans: Loans for household solar panels, electric automobiles, energy efficient projects and more
 - Green credit cards: The card company plants a tree every time consumer makes a certain amount of purchase
 - Green mortgage: Loan provided to buyer of house at better terms provided they agree to invest in enhancing the environmental performance of a property